• Money/Banking, Tax System, Center- State Relation

55. What is the importance of the term "Interest coverage Ratio" of a firm in India?

1. It helps in understanding the present risk of a firm that a bank is going to give loan to.
2. It helps in evaluating the emerging risk of a firm that a bank is going to give loan to.
3. The higher a borrowing firm's level of Interest Coverage Ratio, the worse is its ability to service its debt.

Select the correct answer using the code given below:

(a) 1 and 2 only (b) 2 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans. (a): One of the significant and most crucial liquidity ratios is the Interest Coverage Ratio, which indicates the level of a company's ability to afford the interest that is to be paid by the company for raising debt. It does not measure the ability to make principal payments on the debt; instead it depicts how much the company can promptly pay the debt's interest.

- The interest coverage ratio is used to see how well a firm can pay the interest on outstanding debt. So, statement 1 is correct.
- Also called as' interest earned ratio, creditors and prospective lenders use this ratio to assess the risk of lending capital to a firm. So, statement 2 is correct.
- A higher coverage ratio is better, although the ideal ratio may vary by industry. So, statement 3 is not correct.

56. Consider the following statements:

1. The weightage of food in Consumer Price Index (CPI) is higher than that in Wholesale Price Index (WPI)
2. The WPI does not capture changes in the prices of services, which CPI does.
3. Reserve Bank of India has now adopted WPI as its key measure of inflation and to decide on changing the key policy rates.

Which of the statements given above is/are correct?

(a) 1 and 2 only (b) 2 only
(c) 3 only (d) 1, 2 and 3

Ans. (a) : Statement 1 is correct; the weightage of food in the CPI is close to 50% weightage of food group in WPI is 24.38%.

The statement 2 is correct, the WPI inflation does not capture price change of services but the CPI does.

The statement 3 is incorrect, the Reserve Bank of India on 1st April, 2014 adopted the Consumer Price Index (CPI) as the key measure of inflation. Till now, the Reserve Bank of India (RBI) was using the Wholesale Price Index (WPI) to gauge and measure indicative inflation projections.

57. With reference to the Indian economy, consider the following statements:

1. 'Commercial Paper' is a short-term unsecured promissory note.
2. 'Certificate of Deposit' is a long-term instrument issued by the Reserve Bank of India to a corporation.
3. 'Call Money' is a short-term finance used for interbank transactions.
4. 'Zero-Coupon Bonds' are the interest bearing short-term bonds issued by the Scheduled Commercial Banks to corporations.

Which of the statements given above is/are correct?

(a) 1 and 2 only (b) 4 only
(c) 1 and 3 only (d) 2, 3 and 4 only

Ans. (c) : • Commercial paper, in the global finance is an unsecured promissory note with a fixed maturity. Hence, statement 1 is correct.

Regulated by the Reserve Bank of India, a certificate of deposit is a type of money market instrument issued against the funds deposited by an investor with a bank in a dematerialized form for a specific period of time. CDs can only be issued to individuals, companies, fund houses and such. Hence, statement 2 is incorrect.

- An interbank call money market is a short term money market that allows for large financial institutions to borrow and lend money at interbank rates. Hence, statement 3 is correct.
- A zero- coupon bond is a debt security that does not pay interest but instead trades at a deep discount, rendering a profit at maturity when the bond is redeemed for its full face value.

58. In the context of the Indian economy, non-financial debt includes which of the following?

1. Housing loans owed by households
2. Amounts outstanding on credit cards
3. Treasury bills

Select the correct answer using the code given below:

(a) 1 only (b) 1 and 2 only
(c) 3 only (d) 1, 2 and 3

Ans. (d) : Non-financial debt consists of credit instruments issued by governmental entities, households and businesses that are not included in the financial sector. (The financial sector comprises commercial banks, insurance companies, non-banking financial companies, co-operatives, pension funds, mutual funds and other smaller financial entities). Non-financial debt includes household or commercial loans, treasury bills and credit card balances. They share most of the same characteristics with financial debt, except the issuers are non-financial. Hence, all the statements are correct.

59. If the RBI decides to adopt an expansionist monetary policy, which the of the following would not do?

1. Cut and optimize the Statutory Liquidity Ratio
2. Increase the Marginal Standing Facility Rate
3. Cut the Bank Rate and Repo Rate

Select the correct answer using the code given below:

(a) 1 and 2 only (b) 2 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans. (b) : Expansionary monetary policy involves cutting interest rates or increasing the money supply to boost economic activity. An increase in the SLR constricts the ability of the bank to inject money into the economy, which affects growth. Thus, statement 1 is not correct.

The MSF or Marginal Standing Facility Rate is the rate at which RBI lends funds overnight to scheduled banks against government securities. RBI has introduced this borrowing scheme to regulate short term asset- liability mismatch in a more effective manner. MSF basically provides a greater liquidity cushion. The higher the MSF rate, the more expensive is borrowing for banks and corporate borrowers and individuals. It is used by RBI to control the money supply in the country's financial system. Thus, statement 2 is correct.

The Repo Rate is the rate at which the Reserve Bank of India lends money to commercial banks in order to help these lenders meet their short-term liquidity loans. This impacts the loans taken by customers, who can also avail loans at lower interest rates. This boosts economic activity. The rate of interest charged by the central bank on the loans they have extended to commercial banks and other financial institutions is called Bank Rate. When Bank Rate is increased by RBI, bank's borrowing costs increased which in return, reduces the supply of money in the market. Thus, statement 3 is not correct.

60. Consider the following statements:

1. In terms of short-term credit delivery to the agriculture sector, District Central Cooperative Banks (DCCBs) deliver more credit in comparison to Scheduled Commercial Banks and Regional Rural Banks.
2. One of the most important functions of DCCBs is to provide funds to the Primary Agricultural Credit Societies.

Which of the statements given above is/are correct?

(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans. (b) : District Central Co-operative Banks (DCCBs) are a type of rural co-operatives, along with State Co-operative Banks (StCBs) and Primary Agricultural Credit Societies (PACs). Short term co-operatives are arranged in a three tier structure in most of the states, with StCBs at the apex level, DCCBs at the intermediate level and PACs at the grassroots level.

1. Although the focus of rural cooperative lending in agriculture with the share in credit flow to agriculture of rural cooperative is only 12.1% as compared to 76% of scheduled commercial banks, and 11.9 of Regional Rural Banks. Hence statement 1 is incorrect.
2. DCCBs mobilize deposits from the public and provide credit to the public and PACs. Hence, statement 2 is correct.

61. If you withdraw ₹ 1,00,000 in cash from your Demand Deposit Account at your bank, the immediate effect on aggregate money supply in the economy will be

(a) to reduce it by ₹ 1,00,000
(b) to increase it by ₹ 1,00,000
(c) to increase it by more than ₹ 1,00,000
(d) to leave it unchanged

Ans. (d) : If you withdraw an amount of Rs. 1,00,000 in cash from your bank's demand deposit account then the overall supply of currency in the economy will remain unchanged.

Since, M3 = Currency in circulation + Demand and Time deposits in bank.

62. "Gold Tranche" (Reserve Tranche) refers to

(a) a loan system of the World Bank
(b) one of the operations of a Central Bank
(c) a credit system granted by WTO to its members
(d) a credit system granted by IMF to its members

Ans. (d) : Gold Tranche refers to the amount of gold that each member country of the International Monetary Fund (IMF) contributes as part of its membership obligations to the fund and can readily borrow when facing economic difficulties. Hence statement 4 is correct.

• Foreign Trade of India, Economic Organizations & Share Market

63. Consider the following statements:

1. The value of Indo-Sri Lanka trade has consistently increased in the last decade.
2. "Textile and textile articles" constitute an important item of trade between India and Bangladesh.
3. In the last five years, Nepal has been the largest trading partner of India in South Asia